



INSPECTION SERVICES

Short Form Agreement ("Agreement")

DNV Doc No:
2311-Q-533 Rev01

Section I - Cover Letter

"Customer"

Legal entity: 苏州苏德兰铁路配件有限公司

Legal entity VAT no: NA Customer no.(id): NA

Contact person: Lucia Phone/fax/mail: 13862282559

Business address: 太仓市浮桥镇东环路 9# Invoicing address: 太仓市浮桥镇东环路 9#

Is purchase order no. required to process invoice: ☒ No ☐ Yes; P.O. no: _____

"DNV"

Legal entity: Germanischer Lloyd Industrial Services (Shanghai) Co. Ltd

Legal entity VAT no: 91310000684016491F DNV order no: 2311-Q-533 Rev01

Contact person: Ms. Hu Jinmei Phone/fax/mail: jinmei.hu@dnv.com

Business address: DNV,House No.08, Hongqiao State Guest Hotel,No.1591 Hongqiao Road, Shanghai 200336, China Section/dept: Inspection IBU

Work/project

Project name: 三个螺钉三个道钉检验

Commencement date: 2023-10-26 Contract end date: 2023-12-31

Work location: Suzhou City, Zhejiang Province Project number: 2311-Q-533 Rev01

Scope of Work (the Work)

Inspection according to scope of work and customer requirement

- Visual and dimension inspection
- Document review(if any)

None marine and offshore classification inspection

Remuneration, terms of invoicing, costs/expenses

We offer all inclusive man day rate of

- CNY 4,500 (four thousand and five hundred)
- Rates apply for normal working days (not exceeding 8 hours a day).

Note: the price is equal to USD 615(six hundred and fifteen) and CNY is priority if have change of exchange rate.

Deliverables

(tick as appropriate)

☒ Report ☐ Other



Special conditions

Invoice will be issued after inspection and payment shall be made within 30days upon receipt of our invoice in CNY, net.

This Agreement shall consist of: Section I - Cover letter, Section II - General terms and conditions and the applicable attachments, which together constitute the integrated entire Agreement between the parties, superseding and replacing all prior agreements, understandings or representations relating to the subject matter hereof. The above listed documents in the Agreement shall be interpreted as one agreement and in case of any ambiguities or contradictions between the various documents, the documents shall take precedence in the order listed here: Agreed Special Conditions, General Terms and Conditions, the Cover Letter, and any attachments. No amendment and/or variation to the Agreement shall be considered binding or valid unless set out in writing and duly signed by the authorised representatives of both parties. Any terms and conditions included in any of Customer's purchase orders shall be disregarded unless explicitly agreed to and duly signed by the authorised representatives of both parties as amending specific terms of this Agreement. Should any provision of this Agreement be held to be invalid or unenforceable, such shall not affect the validity or enforceability of any other part or provision of this Agreement. Such provision shall be amended to the extent necessary to make the provision valid and enforceable, while keeping as strictly and closely as possible to the original wording and purpose of the provision. This Agreement is made in duplicate, one original for each party hereto. This Agreement shall be duly signed by the Customer's authorised representative prior to any commencement of the Work, failing which, the Customer acknowledges that DNV is entitled to postpone or cancel the performance of the Work.

Place: **Suzhou**
Date : **2023-10-25**

Place: **Shanghai**
Date : **2023-10-25**



(Name and Title in capital letters)

Wang Jiangjun
Country Manager Inspection China

Section II - General Terms and Conditions

1 Work Execution

- 1.1 DNV shall execute the work as described in the Scope of Work section in the Cover Letter in accordance with the provisions of this Agreement, and any agreed applicable rules and standards (the "Work"). The extent of the Work to be performed shall be set out exclusively in the Scope of Work section of the Cover Letter, which in case of ambiguity or incompleteness shall be determined by reference to any proposal or bid made by DNV to the Customer.
- 1.2 DNV will provide suitably qualified personnel to carry out the Work. Unless otherwise agreed, DNV may at any time substitute personnel assigned to the Work, provided that any replacement personnel are suitable. Customer may set forth any reasonable and reasoned objection against any of DNV's personnel assigned to the Work by written notice. Without undue delay after DNV's receipt of such notice, the parties shall meet and discuss the objections and any measures or reassignment, pending which DNV may without any liability or penalty suspend performance of the Work otherwise to be carried out by the relevant personnel.

2 General Obligations

- 2.1 The parties agree that the proper and timely performance of the Work under this Agreement relies on the parties' effective communication and exchange of relevant information. To this purpose the parties agree to use their reasonable efforts to cooperate in all necessary ways and to develop and maintain open communication and common understanding of the Scope of Work under the Agreement.
- 2.2 Customer agrees that DNV's performance of the Work requires DNV to be granted access and the right to inspect all relevant sites and facilities and the provision of all relevant, correct and complete documents and information. For this purpose, Customer shall in a timely manner make all necessary arrangements and provide DNV with necessary access to all the above mentioned information and sites required for the performance of the Work. Unless it is explicitly agreed as part of the Work to identify discrepancies, errors, inconsistencies or omissions in the information provided by the Customer, DNV is entitled to rely on the accuracy and completeness of the information provided by the Customer for the performance of the Work without further enquiry.
- 2.3 Customer shall promptly inform DNV of any actual or likely delay in necessary access to relevant sites or facilities, or delay in providing or changes to the information necessary for DNV's performance of the Work. Should Customer fail to provide DNV with the required timely access or necessary information, DNV may inform Customer of the lack of access or insufficient information and may without any liability or penalties suspend the performance of the Work pending receipt of the Customer's instructions for access and/or necessary information.
- 2.4 Customer shall not use or allow the use of DNV's name or Deliverables, in whole or in part, in order to institute claims or to conduct legal proceedings.

3 Assignment of Agreement. Sub-contracting.

- 3.1 Neither party shall, without the prior written consent of the other, assign or purport to assign, or make over or dispose of in any way whatsoever any rights and obligations contained herein or resulting therefrom. This restriction shall not apply for transfer within the parties' respective group of companies. DNV shall be entitled to sub-contract the duties to be undertaken hereunder but shall remain responsible for the carrying out of such duties and shall be liable for the actions of the parties employed by it in accordance with the terms hereof.

4 Health, Safety and Environment (HSE)

- 4.1 Both parties shall employ reasonable standards for promoting safety, health and environmental protection and for ensuring safe working environments for their personnel.
- 4.2 Customer shall inform DNV without undue delay of: (i) any actual or potential HSE risk which Customer is aware of and which is reasonably relevant to the performance of the Work; and (ii) any of Customer's implemented or planned measures against such risks that Customer requires DNV's personnel to adhere to.
- 4.3 Whenever DNV's performance of the Work involves visits to or work on Customer controlled facilities or sites, Customer is responsible for the adequacy, stability, safety and legal compliance of the working environment, including reasonable measures to mitigate or control relevant risks. Whenever DNV's personnel are present on Customer's facilities or sites, DNV's personnel shall adhere to Customer's HSE instructions provided according to this HSE clause. DNV or its personnel may refuse to

carry out any activity, or parts of the Work, or visit any area or site, if DNV or its personnel in their sole discretion consider that relevant risks are unacceptable or not adequately addressed, contained or otherwise mitigated. Any such decision shall suspend both parties' obligations under this Agreement without any liability or penalties until the parties have agreed on how to proceed.

- 4.4 For Work where Customer requires DNV's personnel to make use of air transport in areas without local DNV offices, Customer shall provide to the relevant personnel safe transportation to and from airports and the various sites by providing: (i) transportation with cars fulfilling reasonable EU/US technical safety standards (e.g. reasonably new and intact cars, equipped with all relevant safety measures, such as safety belts front and back); and (ii) professional drivers, under written instructions with regard to safe driving, compliance with speed limits and other traffic regulations and use of safety standards (safety belts, lights, resting time, etc.).

5 Deliverables

- 5.1 Upon completion of the Work DNV shall issue any agreed report or other deliverable set out as part of the Scope of Work in the Deliverables section of the Cover Letter (a "Deliverable"). Customer shall familiarize itself with the Deliverable or the Work within a reasonable time after delivery or notification of completion of the Work. DNV may at any time correct any relevant discrepancies, errors or omissions in the Deliverable.

6 Variations

- 6.1 Customer may in writing request DNV to perform additional reasonably similar work under this Agreement (a "Variation").
- 6.2 Should the Customer request a Variation, or if DNV deems any instruction by the Customer to constitute a Variation, DNV shall set out an overview of the Variation, including the impact on the time schedule and remuneration for such in the form of a Variation order (a "Variation Order"), and shall issue the Variation Order to Customer. Unless the Customer objects to the Variation Order within five (5) business days, the Variation Order shall be deemed as accepted as an integral part of this Agreement. Should the Customer object to the Variation Order, the parties shall discuss the proposed effects on the time schedule and remuneration and agree on an amended Variation Order.

7 Re-performance

- 7.1 Should either party detect any discrepancies, errors or omissions in any Deliverables or Work within twelve (12) months after delivery or completion of the Work, whichever occurs first, it shall notify the other party without undue delay and specify the nature and extent of the occurrence. To the extent such occurrence is not attributable to Customer or Customer's affiliates or subcontractors, DNV may in its own discretion rectify said discrepancies, errors or omissions or re-perform the relevant part of the Deliverable or Work within a reasonable period of time. **Provided that DNV's rectification or re-performance is successful there shall be no further recourse for Customer for defective Deliverables or Work.**

- 7.2 Should the notified occurrence be attributable to Customer or its affiliates or subcontractors, DNV may offer to re-perform the relevant part of the Work as a Variation.

8 Taxes and Remuneration

- 8.1 Each party is solely responsible for paying any and all taxes to any public authority wherever such taxes are levied on the activities of such party. For the purpose of this Agreement, any and all prices, fees, rates or remuneration are agreed as stated exclusive of any form of sales taxes, value added tax, and/or any other similar taxes which may be applicable.
- 8.2 Customer shall effect payment as agreed in the Cover Letter to DNV for the Work, including any Variations, to DNV's bank account stated on the invoice within thirty (30) days of the date of the invoice.
- 8.3 In case of late payments, DNV is entitled to charge a late payment penalty interests according to the applicable law of this Agreement, or 3% above the thirty (30) days LIBOR rate, whichever is the higher.
- 8.4 All payments shall be made in cleared funds, without any deduction or set-off and free and clear of and without deduction for or on account of any taxes, levies, imports, duties, charges, fees and withholdings of any nature now or hereafter imposed by any governmental, fiscal or other authority save as required by law.

- 8.5 If and to the extent Customer has to withhold taxes or other payments according to applicable laws, Customer shall deduct and withhold such amounts from payments to DNV and pay the amount to the competent tax authority or any other relevant governmental body. Customer shall inform DNV about such withholding prior to making the payment and shall use reasonable efforts to cooperate with DNV in seeking double tax treaty relief and/or other exemptions and reliefs available, hereunder seeking exemptions from any general withholding obligations Customer may have. Customer shall provide DNV with a withholding certificate or tax receipt issued in the name of DNV in accordance with applicable laws.

9 Confidentiality

- 9.1 Each party ("Recipient") agrees to keep confidential any information it receives from the other party ("Disclosing Party") in the course of the Agreement which, by denotation or reasonable circumstances, is considered confidential to the Disclosing Party. The Recipient shall treat such received information with reasonable care and diligence, not disseminating or disclosing it to third parties without the Disclosing Party's prior written consent, provided however that each party may share such information with its officers, employees, affiliates, subsidiaries or subcontractors who are subject to confidentiality obligations reflecting the principles herein.
- 9.2 The obligations set forth in clause 9.1 shall not apply to (a) DNV's reference to the Customer under this Agreement in any efforts to secure other business, unless the Customer expressly and in writing forbids such reference, or (b) to any information which: (i) was or becomes known to the recipient from a third party without any confidentiality obligation; (ii) is or becomes generally available in the public domain through no act or failure to act on the part of the recipient; (iii) is required to be disclosed by any competent court, governmental agency, flag state administration, or other relevant public authority in accordance with applicable law, court order or other public regulation; or (iv) has demonstrably been developed by the recipient independently from this Agreement.
- 9.3 Notwithstanding the above, unless otherwise explicitly agreed, DNV shall have the rights to use any information generated in the course of the Work which contain or otherwise reflect the information of the Customer for its own statistical or analytical purposes. Such information shall only be disclosed to third parties in aggregated anonymous forms.
- 9.4 The obligations in this section shall survive the completion of the Work or termination of this Agreement and remain for as long as the relevant information is confidential.

10 Intellectual Property Rights

- 10.1 Each party shall remain the sole owner of any of its intellectual property and rights thereto existing prior to the date of this Agreement and, except as explicitly set out in this Agreement, nothing herein shall imply any transfer or grant of rights to any such intellectual property or rights thereto.
- 10.2 Customer shall have a royalty free non-transferable worldwide right to use and copy the Deliverables solely for its ordinary business purposes. Subject to the obligations set out in the Confidentiality clause above, all intellectual property rights in the information and data created by DNV in connection with this Agreement shall vest in DNV.
- 10.3 DNV shall have the right to use general know-how acquired in connection with the Work.
- 10.4 **Customer may only make the Deliverables available, wholly or partially, to third parties, without altering the content, context or original language of the Deliverables.**

11 Force Majeure and Restrictions on Trade

- 11.1 Neither party shall be in breach of this Agreement, nor liable for any failure or delay in performance hereunder if the cause of such failure or delay is attributable to events beyond the reasonable control of the affected party, including but not limited to armed conflict, terrorist attack, civil war, riots, toxic hazards, epidemics, natural disasters, extreme weather, fire, explosion, failure of utility service, labour disputes, breakdown of infrastructure, sanctions, or any public restrictions following any of the incidents above, or any other force majeure occurrence.
- 11.2 In the event of a force majeure occurrence, the affected party shall notify the other party without undue delay of the particulars of the situation. Either party shall be entitled to terminate the Agreement with immediate effect should the force majeure occurrence last for more than thirty (30) days.
- 11.3 Both parties may terminate this Agreement with immediate effect, without any liability or penalties, if the party, its ultimate parent

company or its ultimate parent company's subsidiaries or affiliates are or become subject to sanctions or penalties imposed by a national government, the United Nations, the European Union or similar organisations related to the Work which is provided hereunder, or if the Work would be considered to be illegal or in conflict with applicable law for the respective party, its subcontractors and/or its subcontractor's parent companies.

12 Indemnifications

- 12.1 **Each party shall indemnify and hold harmless (as the indemnifying party) the other party and the other party's affiliates and subcontractors, and its and their employees and other representatives (as the indemnified party), from and against all claims, damages, losses and expenses in respect of: (i) bodily injury, sickness, disease, or death of any of the indemnifying party's or its affiliates' or subcontractors' employees or other representatives; and (ii) loss of or damage to the indemnifying party's or its affiliates' or subcontractors' property or equipment.**
- 12.2 **Customer shall indemnify and hold harmless DNV Group from and against all claims, damages, losses and expenses in respect of: (i) Customer's breach of section 2.2, 2.3, 10.2; and (ii) claims against DNV Group relating to this Agreement made by the Customer's affiliates, subsidiaries or joint ventures outside or exceeding the limitations in the Limitation of Liability clause below. "DNV Group" shall mean DNV, as well as all its direct and indirect owners, affiliates, subsidiaries, sub-contractors, directors, officers, employees and agents as well as any other person or entity acting on behalf of DNV Group.**
- 12.3 The indemnities set out above shall apply howsoever any relevant claims, damages, losses or expenses may arise and regardless whether under contract, tort (including negligence) strict liability or otherwise, except if and to the extent caused by the indemnified party's: (i) intentional and wrongful act or omission with the intent to inflict damage or injury; (ii) act or omission in disregard of a known or obvious risk which makes it highly probable that harm would follow; (iii) act or omission with conscious indifference to the outcome; (iv) any circumstances for which a party may not lawfully limit its liability under this Agreement's applicable law.
- 12.4 Each party shall notify the other party without undue delay upon becoming aware of any incident likely to give rise to a claim against the other party in relation to this Agreement.

13 Limitation of Liability

- 13.1 Neither party excludes any liability arising from its own fraud or fraudulent misrepresentation.
- 13.2 **Neither party shall in any way be held liable towards the other party for any of the other party's or its affiliates' consequential or indirect loss, including but not limited to interruption or loss of business, contract or revenue, loss of goodwill, loss of profit, loss of production, wasted overhead, cost of substitute equipment, downtime costs or other special, punitive or other forms of indirect losses, howsoever such may arise, whether under contract, tort (including negligence), strict liability or otherwise.**
- 13.3 **Except for the obligations under section 12.1 or in case of fraud or fraudulent misrepresentation or other similar circumstances for which a party may not lawfully limit its liability under this Agreement's applicable law, DNV's total maximum liability (and whether in contract, tort including without limitation negligence, breach of statutory duty, under any indemnity or otherwise howsoever) arising out of or in relation to this Agreement and the performance or non-performance of any Work or Deliverables shall be limited to a sum equal to ten times the remuneration paid to DNV under this Agreement, up to a maximum aggregate sum of USD 300,000 (threehundredthousand).**
- 13.4 No claims shall be set forth later than twelve (12) months following the delivery of the Deliverables, or if none, notice of the completion of the Work.

14 Insurance

- 14.1 Both parties shall maintain adequate insurance coverage for general and professional liabilities and their relevant personnel under the Agreement, for such amounts and on such terms as are standard in their respective industries and with underwriters who are in good standing.

15 Fair Business Practice, Anti-bribery and Compliance

- 15.1 The parties shall conduct their respective business activities in a fair, ethical, and lawful manner in accordance with generally accepted codes of conduct (including but not limited to the DNV code of conduct), avoiding any unacceptable activities, including

but not limited to acceptance of or acquiescence in extortion, bribery, use of child labour, breach of human rights, or the imposition of unreasonable work conditions.

- 15.2 **Both parties shall indemnify and hold each other harmless from any breach of this clause.**

16 Term and Termination

- 16.1 This Agreement shall come into effect on the date of the signatures on the Cover Letter and shall remain in full force and effect until all Deliverables are delivered, or the Work is otherwise completed and paid for in full, or terminated earlier by the parties' mutual agreement or in accordance with the subsection below.
- 16.2 Each party may terminate this Agreement by written notice to the other party under the following circumstances: (i) if the other party commits a material breach of this Agreement and fail to rectify such within ten (10) working days after receipt of the other party's written notice; (ii) if the other party becomes insolvent, is unable to pay its debts as they fall due, or is subject to bankruptcy proceedings, receivership, dissolution, liquidation, winding-up or otherwise discontinues business; or (iii) for convenience after serving the other party a written notice thirty (30) days prior to termination.
- 16.3 If Customer terminates the Agreement for its convenience, DNV shall be entitled to full compensation for the Work carried out prior to the termination and for all reasonable termination costs.

17 Law and Jurisdiction

- 17.1 This Agreement shall be governed by and construed exclusively in accordance with the laws of **China**, without regard to principles of conflicts of law.
- 17.2 The parties shall use their reasonable efforts to resolve any claim or dispute arising in relation to this Agreement by negotiations within a reasonable time. Should the parties fail to resolve any claim or dispute by negotiations, the dispute shall be exclusively subject to the jurisdiction of the courts of **Shanghai, China**.